

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Snapdragon Holdings Limited ("Snapdragon") is listed on the Main Board of The Stock Exchange of Hong Kong Limited. Snapdragon and its subsidiaries ("Group") have a financial year end date of 30 June and apply Hong Kong Financial Reporting Standards in their preparation of financial statements. As required by the listing rules, Snapdragon prepares its Environmental, Social and Governance ("ESG") report. The Group set targets under different aspects including carbon emission reduction targets in its ESG report.

During the year ended 30 June 2023, Snapdragon acquired 70% shareholding in Trillium Limited ("Trillium") and 100% shareholding in Ulex Limited ("Ulex"). Companies in the Group measure the property, plant and equipment using the cost model in accordance with HKAS 16 *Property, Plant and Equipment* and measure the investment properties using the fair value model in accordance with HKAS 40 *Investment Property*.

Acquisition of Trillium

On 1 July 2022, Snapdragon paid HK\$10,409 million to acquire 70% shareholding in Trillium ("First Acquisition") from the sole shareholder, Watsonia Limited ("Watsonia"). Watsonia retains 30% of the shareholding in Trillium.

Trillium owns and operates a technology park, offering buildings for rental to companies that wish to conduct scientific and technological research and development ("the Park"). Trillium's mission is to offer a strategic platform for the development of innovation, technology and entrepreneurship. Trillium often receives grants from the government and support from other organisations such as academic institutions. The Park comprises 10 buildings which are rented out to entities such as start-up businesses. Trillium also owns a piece of land adjacent to the Park on which Trillium has been constructing a building as its own headquarters ("Headquarters").

Trillium qualified as a business under HKFRS 3 *Business Combinations*. On 1 July 2022, Trillium reported a total net asset value of HK\$13,200 million. It was assessed that the fair value of Trillium's net assets, on 1 July 2022, was equal to their carrying amounts except for the Headquarters, which had a carrying amount of HK\$1,820 million. Nearby sites have recently been developed for residential use as locations for high rise apartment buildings. It was feasible to convert the Headquarters to a residential apartment building at minimal costs, but Trillium did not have the intention to do so. On 1 July 2022, valuation specialists valued the Headquarters at HK\$3,350 million based on its existing use as its office, and at HK\$3,420 million if it has been used as a residential apartment property. The fair value of the remaining 30% of the shares held by Watsonia, on 1 July 2022, was estimated at HK\$4,458 million. It was assessed that the synergy arising from the First Acquisition rested with Trillium and thus allocation of goodwill upon acquisition was not required.

There have been shifts in behaviour caused by the pandemic including hybrid work which led to a huge drop in the occupancy rates in the Park during this year. An impairment review was therefore performed on Trillium on 30 June 2023. The recoverable amount of Trillium as a cash-generating unit as at 30 June 2023 was HK\$14,300 million, while the book value of the relevant assets for impairment review, excluding goodwill, was HK\$14,380 million after adjusting the effects on consolidation. Trillium only recorded property, plant and equipment and investment properties as non-current assets on its statement of financial position as at 30 June 2023.

Supporting initiatives to Trillium

On 1 July 2023, Trillium received an interest-free loan of HK\$3,010,000 from the government ("the Loan"). The Loan was intended to give immediate financial support to Trillium due to the significant drop in occupancy rates in the preceding year. The Loan would be repayable in three years, and the prevailing market interest rate on 1 July 2023 was 5% p.a. There were no other conditions attached to the Loan.

To attract new tenants to the Park, on 15 June 2023, Trillium announced its plan to invest in 3D printing technology to support the start-ups in the Park to build their prototypes. Trillium purchased an industrial 3D printer ("Printer I") at a cost of HK\$250,000 on 1 July 2023, when Trillium on the same day received a subsidy of HK\$200,000 from the government for the purchase of Printer I ("Subsidy") to support Trillium's initiative. There were no other conditions attached to the Subsidy. On 1 July 2023, Trillium received the latest model of an industrial 3D printer from a foundation trust of a conglomerate for free ("Printer II") with no conditions attached to it. The fair value of such printer was HK\$300,000. It was estimated that both printers would have a useful life of 8 years with no residual value.

Acquisition of Ulex

On 30 June 2023, Snapdragon acquired all the ordinary shares of Ulex ("Second Acquisition"), which held a portfolio of two residential homes fully leased out to separate tenants as well as an office park containing two fully let office buildings. Snapdragon acquired the outsourcing contract for maintenance services for the office park. The maintenance services were considered minor in the context of generating rental income at the office park. No employees, other assets or other activities were transferred to Snapdragon, as Snapdragon planned to use its own property management team to manage the acquired properties. Snapdragon paid HK\$2,800 million for the Second Acquisition. The purchase price was lower than the aggregated fair value of the buildings which amounted to HK\$3,000 million, as the ex-shareholder of Ulex wished to avoid marketing and other administrative costs associated with selling the properties one-by-one. Snapdragon paid professional fees and other transaction costs with a total amount of HK\$2 million in the Second Acquisition.

Preparation of the ESG report

The Group is currently preparing its ESG report for the year ended 30 June 2023. The following dialogue was extracted between Theo Lau, the Chief Finance Officer of Snapdragon, and you (as Ophelia Choi, the Accounting Manager of Snapdragon).

You: Based on the information submitted by various departments, the Group would be unable to meet the carbon emission reduction target set at the beginning of this year. Further, a material subsidiary of the Group reported several serious occupational accidents this year.

Theo: It's simple! Let's just change our calculation methodology on the key performance indicators. I am pretty sure that no one would notice such a change as the ESG disclosures are something new to our stakeholders. More importantly we are not going to disclose the change in our report. We need to show a positive trend in our ESG performance, so let's also hide the accidents from our report.

You are a member of the Hong Kong Institute of Certified Public Accountants, and you are very likely to be promoted to Senior Accounting Manager next year.

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Question 1 (20 marks – approximately 36 minutes)

Regarding the First Acquisition,

- (a) explain how the Headquarters should be measured in the business combination. (3 marks)
- (b) calculate, with supporting computations,
- (i) the goodwill arising from the acquisition of Trillium, under the TWO options of measuring non-controlling interest in HKFRS 3.

Note: You are required to indicate clearly to which option your calculations refer. Taxation effects are ignored.

(4 marks)

- (ii) the impairment loss (if any) recognised in the consolidated statement of profit or loss of the Group for the year ended 30 June 2023 under BOTH options of measuring non-controlling interest in Question 1(b)(i).

Note: You are required to: (1) allocate the impairment loss (if any) in accordance with the applicable financial reporting standard(s); and (2) demonstrate the corresponding impact to non-controlling interest.

(13 marks)

Question 2 (13 marks – approximately 23 minutes)

Explain, with supporting computations (if applicable), how Trillium should account for the following items in its financial statements for the year ending 30 June 2024:

- (a) the Loan;
- (b) the Subsidy; and
- (c) Printer II.

(13 marks)

Question 3 (12 marks – approximately 22 minutes)

The directors would like to know how the Second Acquisition should be accounted for, on 30 June 2023, in the consolidated financial statements of the Group, specifically, whether the acquisition qualified as a business in accordance with HKFRS 3. Theo asked for your assistance so that he could update the board members.

Required:

Prepare a report for Theo advising as to how the Second Acquisition should be accounted for.

Note: A maximum of 2 marks for communication skill will be awarded.

(12 marks)

Question 4 (5 marks – approximately 9 minutes)

Explain briefly which fundamental principle(s) within the *Code of Ethics for Professional Accountants* AND which reporting principle(s) within the ESG Reporting Guide under the listing rules of The Stock Exchange of Hong Kong Limited would be violated if Ophelia follows Theo's recommendations.

(5 marks)

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End of Section A

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SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (18 marks – approximately 33 minutes)

Light-up Limited ("LL") is a company that specialises in building lighting structures. It has a financial year-end date of 31 December.

LL entered into a contract with Big Train Limited ("BTL"), a train company, to set up the whole lighting system in its new stations at a fixed consideration of HK\$100 million. The construction of the stations was expected to take place between 1 January 2022 to 31 December 2026. If at any time LL wants to terminate the contract early, an immediate and fixed penalty of HK\$30 million must be paid by LL to BTL, regardless of how much time has lapsed since the start of the term.

On 31 December 2022, management noticed that the costs of fulfilling the contract might have become more than they originally expected so they updated the estimation. The latest total estimated incremental costs involved in fulfilling the contract include the following:

	HK\$ million
Salaries of project managers and workers who are building the lighting structure in the stations, hired solely for the project	25
Cost of materials for building the lighting structure	40
Depreciation charges of specific equipment involved in the contract ("Specific Equipment")	15
Total	80

In 2022, despite the economic downturn, LL's overall operations were expected to be profit-making.

LL is now in the process of preparing the financial statements for the year ending 31 December 2022. Lucius Chow, the Finance Manager of LL, believes that no provision for onerous contracts needs to be recorded as the contract is making positive contributions based on incremental cost, and the following allocated costs are irrelevant because they would have been incurred anyway.

	HK\$ million
Salaries of headquarters staff, allocated based on time spent on the project	15
Allocation of depreciation charges for property, plant and equipment ("PPE") partly used to fulfil the contract (i.e. non-project specific equipment)	10

Lucius also believes that there is no need to test the Specific Equipment involved in the contract for impairment because the company is expected to be profit-making.

Furthermore, Lucius considers that given that BTL has been rated AAA for several years by the rating agencies, any receivables from BTL recognised should be recoverable, and no loss allowance for expected credit loss needs to be recorded.

Required:

Evaluate and advise if you agree with Lucius' comments (including his supporting arguments) on the accounting treatments of the following:

- (a) onerous contracts;**
- (b) impairment of Specific Equipment involved in the contract; and**
- (c) loss allowance for expected credit loss on receivables from BTL.**

Note: In each of the above, if you do not agree with Lucius you are also required to propose the appropriate accounting treatment under the corresponding financial reporting standards.

Ignore any discounting effects in your discussion.

(18 marks)

Question 6 (19 marks – approximately 34 minutes)

Aspire Limited ("AL") is a company incorporated in Hong Kong. Together with its subsidiaries the group operates in the pharmaceutical industry. During the financial year ended 30 September 2023, AL entered into a contract with Beacon Limited ("BL") and Cherish Limited ("CL") to set up Dawn Limited ("DL"), which is a limited liability company incorporated in Hong Kong. The principal activities of DL include the researching, developing and manufacturing of pharmaceutical drugs and vaccines for sale across the world.

Upon DL's incorporation, AL contributed drug formula and equipment to the value of HK\$35 million plus cash of HK\$10 million, while BL and CL contributed cash to the amount of HK\$35 million and HK\$20 million respectively. Voting rights of each party equals the percentage of capital contribution by each party to arrangement.

The critical terms and rights of the respective parties are as follows:

- 75% vote are required in relation to the following matters in DL:
 - approval of operating and capital decisions, including sales plan and annual budgets; and
 - appointment and removal of directors.
- Each of the parties is committed to purchase all of DL's products in proportion to the percentage shareholding at cost. Each party will have their own discretion on how to deploy the products obtained in this way. DL is not allowed to sell its products to any other third parties.
- DL does not have its own cash other than that which was contributed by its investors; all parties stand ready to contribute cash to the entity to cover all its expenditures at each cash call.
- Each party is obliged to cover their respective portion of the liability in the event that DL needs to borrow loans from the banks.

Management of AL heard that they needed to apply equity method to account for DL in the company's consolidated financial statements because the company does not hold majority votes in DL. Management of AL were not convinced, and you are being approached as their accounting advisor.

Required:

- (a) **Advise and explain how the investment in DL shall be classified and accounted for in the consolidated financial statements of AL.**

Note: A maximum of 2 marks for analytical skill will be awarded.

(15 marks)

- (b) **Advise whether the following are related parties to AL.**

(i) **BL.**

(ii) **Major supplier to DL, that supplies almost all of its raw materials in manufacturing its major products.**

Note: Ignore Listing Rules requirements.

(4 marks)

Question 7 (13 marks – approximately 23 minutes)

Cirrus Group Limited ("CGL") and its subsidiaries are in the cars and machineries manufacturing business with a financial year end date of 30 June.

CGL is in the process of preparing its financial statements for the year ended 30 June 2023 and management is considering the accounting treatment of the items described further below.

The consolidated financial statements for the year ended 30 June 2023 were authorised for issue on 18 August 2023.

Disposal of major subsidiaries

In March 2022, CGL planned to dispose of its loss-making subsidiaries that manufacture traditional machineries ("the disposal group"). The transaction was approved by the directors and shareholders in August 2022. Negotiation with potential buyers went ahead right away and the sale was expected to be completed within one year. However, due to unforeseen fluctuations in the market, CGL needed to adjust the selling price downwards a number of times. CGL eventually managed to conclude on a buyer on 28 April 2023.

In the meantime, the disposal group had some open contracts where manufacturing of the products ordered were still in progress as of 30 June 2023. The sales contract of the disposal group was eventually signed on 15 August 2023 after some administrative delay.

Management considers that, given the agreement was not signed until after the reporting period end, there is no need to classify the disposal group as held-for-sale for the year ended 30 June 2023.

Modification of terms of bank loan

On 1 July 2021, CGL drew down a HK\$10 million loan from Big Shark Bank with a term of 5 years.

On 30 April 2023, due to a breach in loan covenant based on the numbers on that day as stipulated in the loan contract, the loan became repayable on demand.

CGL started to negotiate with the bank on the modification of the terms right away to waive the breach and to extend the maturity date to June 2027. The resulting contract was signed on 5 July 2023.

Given that the terms were successfully renegotiated and management considered that the modification was substantial, CGL's management proposed to (1) derecognise the loan and (2) recognise the renegotiated loan as a new non-current borrowing as of 30 June 2023.

Required:

(a) Advise whether you agree with management's comments in respect of the classification of the disposal group in CGL's consolidated financial statements for the year ended 30 June 2023.

(8 marks)

(b) Advise whether you agree with management's comments in respect of the accounting treatment of the bank loan in CGL's consolidated financial statements for the year ended 30 June 2023.

(5 marks)

* * * END OF EXAMINATION PAPER * * *